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Asia Diversified Utilities and Electrical Equipment

Three Key Investment Opportunities in Coming Autumn & Winter

CITI'S TAKE

Post 1H26 results season, we have identified three key investment themes for investors in coming months, namely (i) significant upside for Korean grid equipment makers with revenue growth in 3Q26E and strong new-order growth; (ii) PRC grid equipment makers to gain from accelerating PRC power-grid capex growth in 2H26E; and we assume that any US ban on grid-equipment imports would be selective as they are essential for data center construction; and (iii) upstream gas names to outperform downstream in the next six months on margin rise of the former but cut of the latter. Our top picks include Hyosung Heavy, LS Electric, Sieyuan Electric, Pinggao, Maxwell, Dajin Heavy, ENN Natural Gas and GDI.

Korean grid equipment makers with high growth — This is our most preferred sub-sector with high new order growth (average +78% yoy in 1H26), significant orders on hand (average 3.2x annual revenue), rising US transformer market prices and, most importantly, close US-Korean trade & defense relations which may help mitigate export risk. We expect revenue growth to accelerate qoq in 3Q26E on delayed booking from 2Q26 owing to shift in trade terms booked on DDP instead of FOB. Our top pick Hyosung Heavy looks attractive at 24x 2027E PER with 34% 2026-28E EPS CAGR.

PRC grid equipment makers to see more new orders hoh in 2H26E — We expect PRC power grid capex to accelerate from +4% yoy in 1H26 (low growth at beginning of 15th FYP due to project design & planning works) to up 10-12% yoy in 2H26E as PRC gov't plans for 7% five-year CAGR in 2025-30. Sieyuan, Pinggao and TBEA are often among biggest winners of State Grid equipment tendering. In terms of risks, we believe the potential US ban on grid equipment imports (69kV or above) would have more impact on new products instead of existing ones as they are essential for data center construction. There could be further clarification when President Xi visits the US on 24 Sep 2026.

PRC wind sector: prefer equipment suppliers to operators — We expect Dajin Heavy to resume receiving new orders from Europe (in particular Germany with a new tariff regime being set) in 1H27E. For operators, Longyuan's 1H26 net profit fell due to wind tariff and utilization decline. We expect this to persist in 2H26E.

PRC gas sector: expecting upstream to outperform downstream — In China, upstream gas prices are to be raised in 3Q26E, a 4-5 month lagging behind spot prices. This would benefit upstream suppliers at the expense of downstream city gas distributors. We expect upstream company ENN Natural Gas to see net profit +18% yoy to Rmb6.2bn in 2027E on dollar margin expansion of direct gas sales and targets set in its share incentive scheme.

HK utilities: the higher yield, the better — Guangdong Investment has the highest yield among HK utilities. Its earnings are defensive with >80% from water and rental incomes. Its payout ratio will be kept at 65% in 2025-30E per management while we expect EPS and DPS to add at least 5% pa in the period.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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PRC/HK Utility, Renewables & Equipment Sector

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Top Buys & Sells Ideas

Figure 1. Asian Utilities, Renewables and Power Equipment Companies – Top Buys ranked by Conviction Levels (Priced as of 8 Sep 2026)

		Stock code	Share price	Target Price	PER (x)	2027E PB (x)	2027E ROE (%)	Yield (%)	Positive Catalyst
Hyosung Heavy	298040.KR	298040.KS	W2,968,000	W3,500,000	24.5	6.8	31.7%	0.5%	- New orders to +70% yoy to W13trn in 2026E (+78% yoy to W7.5trn in 1H) - W60bn revenue from Middle East postponed from 2Q26 to 2H26E - 85% capacity additions of high voltage products in next 3 years (2026-28E)
LS Electric	010120.KR	010120.KS	W205,500	W320,000	41.9	10.5	27.5%	0.8%	- New orders to +89% yoy to W7trn in 2026E (+1.2x yoy to W3.2bn in 1H) - Up to 70% 2Q26 new orders from data centers (including those in Mexico) - Popular among Korean retail investors after stock split
Sieyuan	002028.CN	002028.SZ	Rmb145.00	Rmb216.00	23.3	5.0	23.6%	0.7%	- Revenue to add >25% yoy and new orders to rise >30% yoy in 2026E - Export revenue growth to rise hoh in 2H26E with more from the US & Middle East - Sustainable GP margin to change within 1ppt yoy in 2026E, vs. 30.8% in 2025
Pinggao	600312.CN	600312.SS	Rmb20.29	Rmb24.50	17.4	2.1	12.5%	2.5%	- PRC domestic new order tendering to rise in 2H26E in particular for UHV lines - PRC largest gas insulated switchgears (GIS) suppliers for building UHV lines - GP margin rise for higher revenue mix from high voltage GIS
Maxwell	300751.CN	300751.SZ	Rmb198.48	Rmb250.00	47.0	6.0	13.5%	0.4%	- Revenue from semi-conductor equipment sales to triple yoy to >Rmb3bn in 2027E - Semi-conductor equipment revenue mix to rise from 8% in 2025 to 42% in 2027E - Limited downside of solar equipment sales at trough level
Dajin Heavy	1081.CN	1081.HK	HK\$27.92	HK\$43.00	9.0	1.0	12.1%	1.1%	- European (in particular Germany) offshore wind tenderings to resume in 1H27E - Extra value from shipbuilding to be delivered from 2H27E - Inexpensive valuations with H-share price drop >50% from IPO in May 2026
Dongfang	1072.CN	1072.HK	HK\$19.96	HK\$27.00	11.4	1.2	10.6%	4.4%	- Net profit to add at least 10% pa in 2026-30E from more export, hydro & gas sales - 50MW gas turbine production capacity to add from 10 to 2-30 units in 2026-27E - New orders from overseas surged to Rmb15bn in 1H26, nearly those in 2025
Sungrow	300274.CN	300274.SZ	Rmb88.75	Rmb140.00	13.1	2.8	23.0%	1.9%	- 1H26 profit fall for revenue cut from China & Middle East not to persist in 2H26E - GP margin of ESS -7.5ppts yoy to 32.4% in 1H26; we assume 31%/29% in 26/27E - Key risk from Sino-US trade barrier with 40% profit from the US
ENN NG	600803.CN	600803.SS	Rmb19.23	Rmb23.50	10.8	2.4	23.0%	5.3%	- Dollar margin of direct gas sales to rise yoy in 2027E - Direct gas sales (overseas) to rise to 24 shipments in 2027E, from 17 in 2026E - Net profit to +14% yoy to Rmb6,227m in 2027E under stock incentive plan
GDI	0270.HK	0270.HK	HK\$8.81	HK\$9.50	11.5	1.2	11.0%	5.7%	-High earning quality with 60% from water business with strong cash inflow - Likely to renew water supply concession to HK assuming at HK\$50bn in 2029-30E - Attractive yield and promise no DPS cut in the run up to 2030E

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Source: Citi Research, Company Reports

Figure 2. Asian Utilities, Renewables and Power Equipment Companies – Top Sells ranked by Conviction Levels (Priced as of 8 Sep 2026)

			2027E						
			Share price	Target Price	PER (x)	PB (x)	ROE (%)	Yield (%)	Negative Catalyst
China Resources Power	0836.CN	0836.HK	HK\$18.69	HK\$17.50	7.9	0.8	10.0%	5.1%	- 1H26 net profit -15.5% yoy for thermal tariff (-7%) & unit fuel cost (+1%) - Both wind and solar tariff & utilisation declines yoy in 1H26 - Management guides EPS & DPS to drop yoy in 2026E
Huaneng Power	0902.CN	0902.HK	HK\$5.66	HK\$4.60	15.5	0.5	3.1%	3.5%	- Net profit -28.9% yoy in 1H26 with less from both thermal and renewable segments - Unit fuel cost rebound in 2Q26; we expect it to have upside in 2H26E - Tuas Power profit -45% yoy to Rmb745m in 1H26
China Gas	0384.HK	0384.HK	HK\$5.64	HK\$4.50	11.3	0.5	4.7%	6.2%	- No retail gas sales volume growth for uncompetitive ASP vs. other energies - New connection cuts amid property market downturn - DPS cut in FY26 owing to EPS cut

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Source: Citi Research, Company Reports

More Preferred vs. Less Preferred

Figure 3. More preferred and less preferred within sub-sectors (in the order of conviction)

More preferred	Rating	Less preferred	Rating	
ENN NG	Buy	ENN Energy	Neutral	Reason: Dollar margin rise yoy of direct gas sales of ENN NG vs. dollar margin cut of retail gas sales qoq of ENN Energy Major risk to overweight ENN NG: Lower than expected dollar margin of direct gas sales in 2H26E with much locked in by forward contracts Major risk to underweight ENN Energy: Decent DPS not less than HK\$3 for 2026E promised by the company
Power Assets	Buy	Huaneng Power	Sell	Reason: Power Assets with steady margin but Huaneng Power with margin cut for tariff & utilisation cuts Major risk to overweight Power Assets: Possible GBP/HK\$ depreciation if no US\$ interest rate cut Major risk to underweight Huaneng Power: Lower than expected unit coal cost if Middle East conflict resolves
Dajin Heavy	Buy	Longyuan	Neutral	Reason: Expecting Dajin to resume with new orders from Europe in 1H27E; Longyuan with margin cut from wind tariff & utilisation cuts Major risk to overweight Dajin Heavy: New tariff regime under development in Germany Major risk to underweight Longyuan: More renewable subsidy receipt in 2026E but not happen yet
Guangdong Inv.	Buy	CLP	Neutral	Reason: Guangdong Investment with higher dividend yield than CLP Major risk to overweight Guangdong Inv.: Uncertainty from HK water supply concession rights to end in 2030E Major risk to underweight CLP: Higher than expected HK SOC capex from 2029E from North Metropolitan development

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Source: Citi Research, Company Reports

Korean Power Equipment Sector – High Growth Exceeding Targets

Figure 4. Korean Power Equipment & Utility Sector 1H26 Results Review

Company	Stock code	Citi Rating	Currency	2Q25 net profit	2Q26 net profit	YoY	Miss or Comment on 2Q26 results and key takeaways
Hyosung Heavy	298040-KS	Buy	Wbn	92.5	172.6	86.6%	Beat * Management revised up 2026 revenue, margin and new order guidance
LS Electric	010120-KS	Buy	Wbn	67.0	116.0	73.1%	Beat * New orders to +89% yoy to W7trn in 2026E; Up to 70% 2Q26 new orders from data centers
Hyundai Electric	267260-KS	Buy	Wbn	142.4	206.6	45.1%	Beat * New orders +39% yoy in 1H26; Increased new order mix related to data centers
KEPCO	015760-KS	Buy	Wbn	1,136.2	267.0	-76.5%	Miss * Low nuclear generation mix in 2Q26 to rebound in 2H26E

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Source: Citi Research

We are positive on Korean power grid equipment makers mainly due to (i) stronger than expected new orders (up 39–117% yoy in 1H26); (ii) OP margin expansion from product mix change and rising order mix from the US; and (iii) possible mitigated competitive threat from Chinese peers amid potential US ban on foreign power grid equipment imports, in view of close trade and political relations between the US and South Korea.

Figure 5. Comparison of Korean power grid equipment makers

	Hyundai Electric	Hyosung Heavy Industries	LS Electric
Company history	Since 1977 (established as the new Electrical Engineering Division in Hyundai Heavy Industries Co Ltd)	Since 1962 (founded Han Yang Industrial Co, making Korea's first 154kV transformer in 1969)	Since 1974 (established Goldstar Instrument & Electric Co)
Key products	Transformers, GIS, etc.	Transformers, GIS, etc.	Transformers, GIS, etc.
1H26 revenue (Wbn)	2,178	5,969	4,962
1H26 revenue mix by products	50% power, 17% distribution, 16% rating & 17% subsidiaries	66% heavy industrial, 34% construction	69% electric, 25% subsidiaries, 6% automation
1H26 operating profit mix by products	N/A	87% heavy industrial, 13% construction	79% electric, 16% subsidiaries, 4% automation
1H26 revenue mix by countries	48% the US, 13% Middle East, 9% Europe, 15% Korea & 15% others	38% the US, 25% Korea, 7% Middle East & 30% others	N/A
1H26 net profit (Wbn)	415	264	235
1H26 net margin	19.0%	4.4%	4.7%
1H26 new order amount	US\$3,237m (+39% yoy)	W7,499bn (+78% yoy) (heavy industries segment)	W3,170bn (+117% yoy)
End 1H26 order on hand amount	US\$8,490m (+30% yoy), or 3.0x 2025 revenue	W17,507bn (+63% yoy), or 4.2x 2025 revenue (heavy industries segment)	W7,000bn (+82% yoy), or 2.5x 2025 revenue (electric division)
End 1H26 net debt to equity ratio	Net cash	22.20%	25.60%
Capacity expansion plan in progress:			
1. When will the new capacity to be completed?	Partial completion in 2027E (Ulsan in Jan 2027E & Alabama in Apr 2027E)	In both South Korea and the US	In both South Korea and the US
2. Where is new capacity being added?	Both South Korea & Alabama, the US	Transformer capacity in Korea & the US, plus GIS capacity in Korea	Primarily in Busan, Korea, plus in Utah, the US for making SWGR & CB from 2H27E
3. How large will the capacity expansion be?	Annual revenue from Alabama to rise from W100bn to W200bn	Transformer capacity to rise 20% in July 2027E, to raise revenue from high voltage and 10% in 2028E, GIS capacity in Korea by 50% in 1H25E	W700bn after ramp up in utilization in 1-2 years (2027-28E)

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Source: Citi Research, Company Reports

Hyosung Heavy Industries (298040 KS, Buy) – Management Raised 2026 Revenue, Margin & Order Guidance; Asia Top Pick

Hyosung Heavy's (HH) 2Q26 results were strong with operating profit +60.2% yoy. Its outlook appears bright with management revising up 2026E revenue, new orders and margin guidance. Additional upside could come from its recently formed JV with Quanta Services Inc, the largest US power grid EPC contractor, which should not only add to earnings but also endorse its competitiveness in winning new orders there. It has high EPS growth at 34% 2026-28E EPS CAGR and high ROE at 31.7% for 2027E. HH is our top pick in both the Korean & Asia power equipment sector.

LS Electric (010120 KS, Buy) – Buy on 2Q26 Results Beat & More Ambitious Company Targets

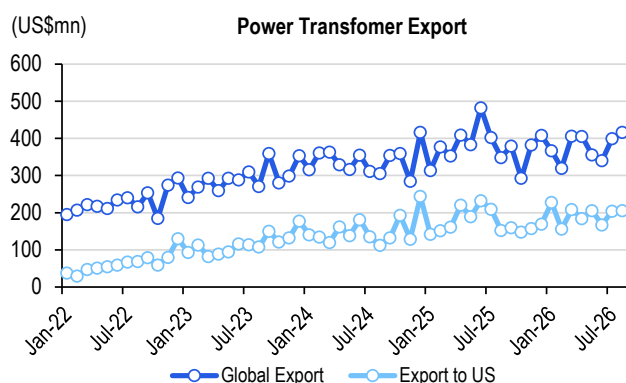
We have a Buy rating and DCF TP of W320,000 on LS Electric on (i) strong new orders possibly +89% yoy to W7trn in 2026E, (ii) OP margin of power equipment sales to rise from 16% in 2Q26 to 18-20% in 3Q26E; and (iii) high net profit growth to more than triple in 2025-28E. Its 45.5x 2027E PER appears justified given the strong earnings growth outlook. We also note the strong popularity of this stock among Korean investors.

HD Hyundai Electric (267260 KS, Buy) – More Attractive after Share Price Decline; More Orders from DCs

We are positive on HD Hyundai Electric for (i) fast new order growth of +38.8% yoy in 1H26, in line with our forecast of +40% yoy in 2026E and well above company guidance of +15% yoy; (ii) it is focusing more on new orders from data centers which will be a new growth driver; (iii) benefiting from strong execution with strong track record and large exposure (67% of 1H26 new orders) from the US. Its valuations of 20.3x 2027E PER and 6.7x PB have become more attractive after 50% share price decline since May owing to pullback of global tech related stocks after strong share price performance in 2025-1Q26 probably related to profit-taking activities.

Encouraging Monthly Korean Transformers Export Growth in August

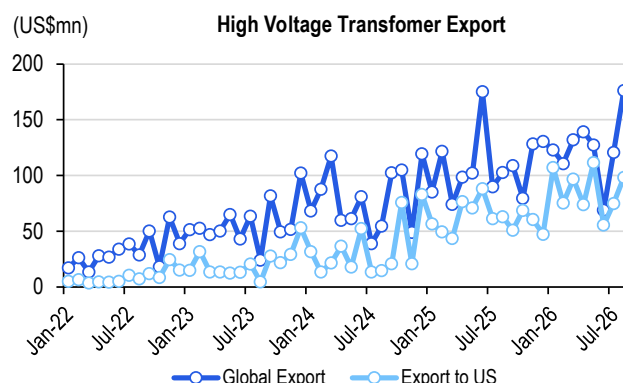
Figure 6. Korean Monthly Power Transformer Exports



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Source: Citi Research, Company Reports

Figure 7. Korean monthly High Voltage Transformer Exports

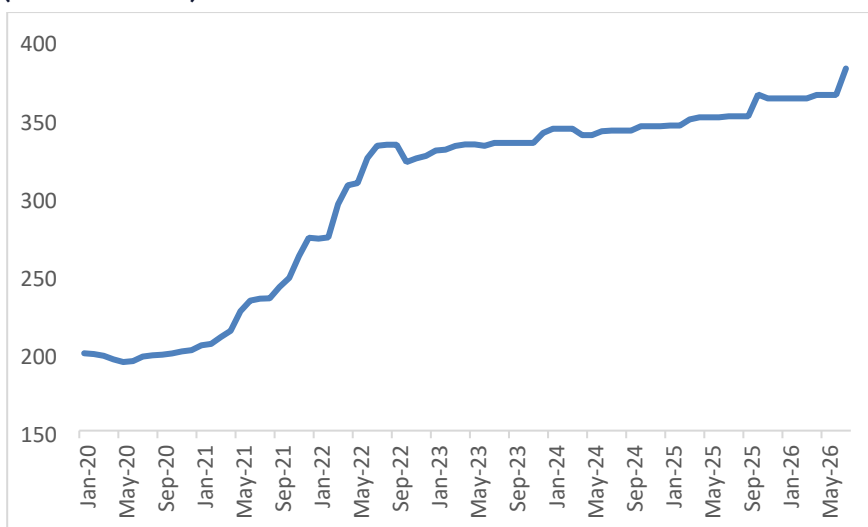


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Source: Citi Research, Company Reports

Korea's power transformer export value rose 19% yoy to US\$416m in August; this was the highest monthly yoy increment since Nov 2025. The increment included US\$206m (+35% yoy) or 49.4% (+5.7ppts yoy) to the US. For large high-voltage transformers with >10,000kva capacity which are more relevant to Korean power equipment makers under our coverage, Korea's power transformer export value surged 72% yoy to US\$176m in the month; this was also the strongest monthly yoy increase from March 2026. The increase comprised US\$98m (+56% yoy) or 55.8% (-5.5ppts yoy) to the US. For 8M26, Korea's power transformer export value declined 1.9% yoy to US\$3,009m, including US\$1,560m (+6.9% yoy) or 51.8% (+4.3ppts yoy) to the US. For transformers with >10,000kva capacity, Korea's power transformer export value +17.5% yoy to US\$999m in 8M26, comprising US\$694m (+36.0% yoy) or 69.5% (+9.4ppts yoy) to the US. We are positive on Korean transformer makers.

Figure 8. US Producer Price Index (PPI) - Transformer Monthly Market Price (100 in Jan 2000)



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Source: Citi Research, FRED

KEPCO (015760 KS, Buy) - 2Q26 Profit Miss on Low Nuclear Output Mix; Expect Improvement in 2H26E

KEPCO's 2Q26 earnings miss was primarily owing to unit fuel cost rise from reduced nuclear generation mix (-5.3ppts yoy to 49.1%). We nevertheless reiterate our Buy rating expecting positive catalysts from (i) lower unit fuel cost in 4Q26E (with 4-5 month lag from spot prices); (ii) higher nuclear generation mix in 2H26E with new unit additions and more timely maintenance; and (iii) possible tariff rises subject to government decision. Its 0.4x 2026E PB appears inexpensive with 12.0% ROE.

PRC Power Grid Equipment Sector – Strong Growth from Non-US; Likely More PRC Orders in 2H

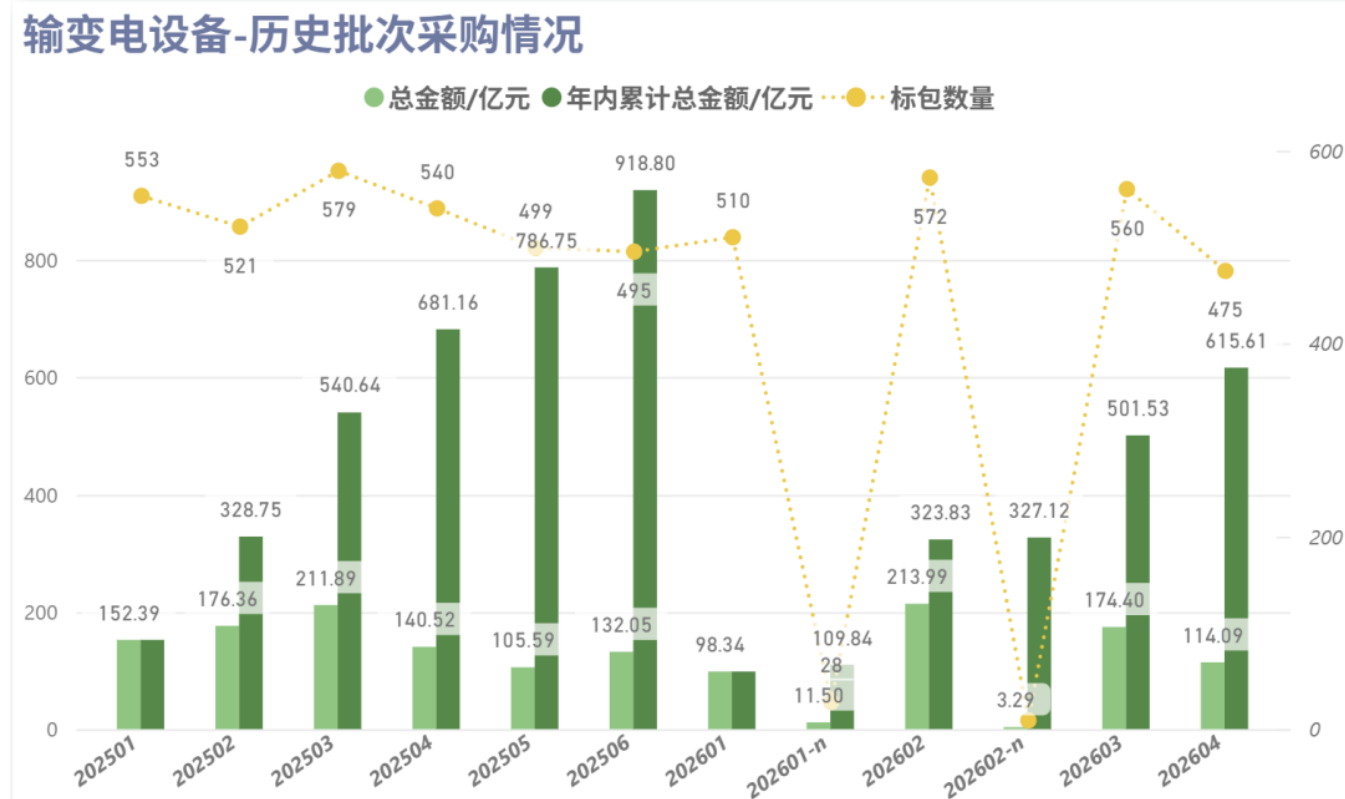
Figure 9. PRC Power Grid Equipment Sector 1H26 Result Review

Company	Stock code	Citi Rating	Currency	1H25 net profit	1H26 net profit	YoY	Miss or beat	Comment on 1H26 results and key takeaways
Sieyuan	002028.SZ	Buy	Rmbm	1,293	1,464	13.2%	Miss	* GP margin -1.3ppts yoy to 30.5% in 1H26, forex loss & stake cut at transformer plant
Huaming	002270.SZ	Buy	Rmbm	368	390	5.8%	Inline	* Net profit +15.3% yoy in 1H26 stripping out employee share option expense
Pinggao	600312.SS	Buy	Rmbm	665	817	22.9%	Beat	* GP margin rise for higher revenue mix from high voltage GIS sales
TBEA	600089.SS	Buy	Rmbm	3,184	2,552	-19.8%	Miss	* More profits from polysilicon, gold, transformers offset less from coal & electricity sales
TGood	300001.SZ	Buy	Rmbm	327	428	30.9%	Beat	* GP margin rise for product mix upgrade and more sales of prefabricated substations
NARI	600406.SS	Buy	Rmbm	2,952	3,073	4.1%	Miss	* 1H26 net profit +11% yoy inline if excluding forex & impairment losses
Wasion	3393.HK	Buy	HK\$	440	446	1.4%	Miss	* GP margin cut of smart grid solutions segment & profit cut of Willfar Information
XJ Electric	000400.SZ	Buy	Rmbm	634	416	-34.4%	Miss	* Margin cut for ASP drop of smart meters and distribution equipment plus cost rise

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Source: Citi Research, Company Reports

Figure 10. Power Transmission and Transformation Equipment Procured by State Grid in 2025–26 so far



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Source: Citi Research, State Grid

Figure 11. The biggest winners of State Grid power transmission and transformation equipment tendering in 2026 so far

2026-1st batch Company	2026-2nd % Company	2026-3rd % Company	2026-4th % Company	%
XD Electric	6.9%	XD Electric	24.2%	7.5%
Pinggao Electric	6.6%	TBEA	21.3%	6.7%
Seyuan Electric	6.5%	XJElectric	11.5%	6.5%
TBEA	4.7%	NARI Technology	7.0%	6.3%
Taikai Group	4.3%	Pinggao Electric	6.9%	4.5%
State Grid Information and Commu	2.6%	Baoding Tianwei Baobian Electric	4.3%	4.3%
Jiangsu Zhongtian Technology	2.0%	China Energy Engineering Corp	2.1%	2.8%
XJElectric	1.9%	Guangzhou Baiyun Electric Equipm	0.7%	2.5%
Shandong Electrical Engineering &	1.6%	Hsino Tower Group Co., Ltd.	0.6%	2.1%
CHINT Group	1.6%	Seyuan Electric	0.6%	2.0%
Others	61.4%	Others	21.0%	54.9%
Total	100.0%	Total	100.0%	100.0%

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Source: Citi Research, State Grid

Sieyuan Electric (002028 CH, Buy) - Expecting Profit Growth Acceleration in 2H26E

We reiterate our Buy rating on Sieyuan Electric after hosting its post 1H26 result call and keep it as our top sector pick. **Its net profit growth should accelerate HoH in 2H26E due to higher overseas revenue growth, including both from Americas (not just the US) and Middle East.** In 1H26, net profit growth of 13.2% yoy was dragged by: (i) decelerated overseas revenue growth (+11.2% yoy in 1H26, vs. +85.8% yoy in 2025); revenue mix from overseas was 29.5% (-4.2ppts yoy) in 1H26; (ii) Rmb appreciation adding financial expense of Rmb150m yoy; and (iii) heightened freight costs arising from the Middle East conflict. Meanwhile, **1H26 new order growth was strong, exceeding its full year target of +30% yoy slightly, comprising up >30% yoy from overseas and <30% from China.** This high order growth should support robust earning increments in 2027E, in our view.

Figure 12. PRC Power Grid Capex (Rmbbn)

	2020	2021	2022	2023	2024	2025	1H25	1H26
Completed investment in power grid infrastructure	469.9	495.1	501.2	527.5	608.3	639.5	291.1	302.7
yoy (%) as reported	-6.2	1.1	2.0	5.4	15.3		14.6	4.0
yoy (%) as calculated	-3.2	5.4	1.2	5.2	15.3	5.1	14.6	19.2

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Source: Citi Research, National Energy Administration

Pinggao (600312 CH, Buy) - Prime Beneficiary of More PRC UHV Line Investments in 2026-27E

We are positive on Pinggao, expecting higher GP margins driven by higher revenue mix from high-voltage gas insulated switchgears (GIS) sales essential for UHV line developments in 2026-27E with ample orders on hand. **It is the largest beneficiary of China's increased UHV line development with dominant (60-70%) market shares** in winning orders of 750kV GIS in the first three batches of PRC grid equipment procurement tendering in 2026 so far. Its mid teen 2027E PER appears undemanding with leading market share and 14.8% 2026-28E EPS CAGR.

PRC Gov't Plan of UHV Line Development in 15th FYP

Figure 13. PRC UHV power transmission lines under construction

Type	Project	Fuel type	Power Voltage	Investment (Rmbbn)	Length (km)	Approval Time	Completion time	Transmission capacity (MW)	Bidding/contracted time
AC	Aba - Chengdu	Wind + Solar	1000kV	14.5	743	Jan-24	2026E	8,000	
AC	Datong - Tianjin	Coal + Wind + Solar	1000kV	22.4	772	Dec-24	2026E	8,000	
AC	Yanwei	Wind + Solar	1000kV	n/a	2x564.9	Jan-25	Oct-26	8,000	
AC	Panzhihua - Xichang	Hydro	500kV	23.1	502	Oct-25	2028E	8,000	2026E
AC	Zhejiang	Wind + Hydro + Nuclear	1000kV	29.3	508	Dec-25	2029E		2026E
AC	Dalat - West Inner Mongolia	Wind + Solar	1100kV	4.4	244	Feb-26	2027E		Contract signed Mar 2025
AC	Haiyang - Xin'an Nuclear Transmission	Nuclear	1000kV	n/a	2x40.2	Jan-25			2025
AC	Zhaoyuan Nuclear Transmission	Nuclear	1000kV	n/a	108.6	Dec-25	2028E		Contract signed 2026E
AC	Hami - Dunhuang	n/a	750kV	n/a	385.7	Feb-Mar 26	2028E		
AC	Jiangxi	n/a	1000kV	n/a	2x298.9	Aug-26	n/a		
DC	North Shanxi - Anhui	Wind + Solar	±800 kV	20.5	1069	Mar-24	Nov-25	8,000	2024
DC	Gansu - Zhejiang (Relay)	Coal + Wind + Solar	±800 kV	35.3	2370	July-24	2027E	8,000	2024
DC	Western Mongolia - Beijing-Tianjin-Hebei (Semi-relay)	Wind + Solar	±660 kV	17.2	669	Jun-25	2027E	8,000	Oct-Nov 2025
DC	Tibet - Guangdong, Hong Kong and Macau (Relay)	Wind + Solar	±800 kV	53.2	2681	July-25	2026E	8,000	Oct-Nov 2025
Total investment				219.8					

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Source: Citi Research, Company Reports

China plans to commission 15 new UHV DC transmission lines during 2026–30E mainly for delivering green power from western/northern clean-energy bases to eastern & central load centers. After completion, west-to-east power transmission capacity will exceed 420GW, up 24% from 340GW at end-2025. These 15 UHV-DC corridors are primarily designed for desert-Gobi wind-solar bases, and southwest hydro-wind-solar integrated bases.

Meanwhile, China will continue strengthening the 1,000 kV UHV-AC synchronous backbone network for East, North, Central and Southwest China. The representative project is the Panxi 1000 kV UHV-AC project (Sichuan), the first UHV-AC project of the 15th FYP, scheduled for commissioning in 2028E. UHV-AC reinforces regional grid security, supports large-scale new-energy integration and provides voltage-stabilization for UHV-DC receiving-end grids.

Furthermore, more than six DC back-to-back inter-regional mutual-aid projects will be built in 2026–30E, adding roughly 40 GW of cross-provincial power mutual-aid capability, improving grid flexibility and cross-region power balancing.

Figure 14. PRC UHV power transmission lines in preparatory stage

Type	Project	Fuel type	Power Voltage	Investment (Rmbbn)	Length (km)	Approval Time	Completion time	Transmission capacity (MW)	Bidding/contracted time
DC	Shanxi - Henan	Coal + Wind + Solar	±800 kV	19.2	728	2026E	2027E	8,000	2026E
DC	Gansu - Sichuan	Coal + Wind + Solar + ESS	±800 kV	24.6	1460	2026E	2028E	8,000	2026E
DC	Xinjiang - Sichuan-Chongqing	Coal + Wind + Solar + ESS	±800 kV	31.1	1996	2026E	2028E	8,000	2026E
DC	Qinghai - Guangxi	Coal + Wind + Solar + ESS	±800 kV	39.2	2844	2026E	n/a		
DC	Tengri - Jiangxi	Coal + Wind + Solar + ESS	±800 kV	n/a	2250	n/a	2026E-2031E	8,000	
DC	Kubuqi-Shanghai	Coal + Wind + Solar + ESS	±800 kV	n/a	1951	n/a	n/a	8,000	
DC	Wulanbuhe- Beijing-Tianjin-Hebei - Shandong	n/a	n/a	n/a	n/a	n/a	n/a		
DC	Inner Mongolia - Jiangsu	Coal + Wind + Solar + ESS	±800 kV	n/a	n/a	n/a	n/a		
DC	Songliao-Northern China	n/a	±800 kV	n/a	1031.4	2026E	n/a		
DC	Inner Mongolia - Eastern China	n/a	n/a	n/a	n/a	n/a	n/a		
DC	Jinlin-Beijing	n/a	±800 kV	n/a	n/a	2026E	2029E	8,000	
DC	Inner Mongolia - Anhui	n/a	n/a	n/a	n/a	n/a	n/a		
AC	Datong - Bayannur	n/a	n/a	n/a	n/a	n/a	n/a		
AC	Datong - Baotou	n/a	n/a	n/a	n/a	n/a	n/a		
AC	Huangshi	n/a	n/a	n/a	1543.8	n/a	n/a		
AC	Xiongan	n/a	n/a	n/a	n/a	n/a	n/a		
AC	Shijiazhuang	n/a	n/a	n/a	n/a	n/a	n/a		
AC	Southern Tianjin	n/a	n/a	n/a	n/a	n/a	n/a		
AC	Nanyang	n/a	n/a	n/a	n/a	n/a	n/a		
AC	Zhumadian	n/a	n/a	n/a	n/a	n/a	n/a		
AC	Shibei	n/a	n/a	n/a	n/a	n/a	n/a		
AC	Shanxi-Henan	n/a	1000kv	n/a	450	n/a	n/a		

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Source: Citi Research, Company Reports

Huaming Power Equipment (002270 CH, Buy) – Positive Tone from Post-Results Call: Profit Uplift on More Export Sales

We have a Buy rating on Huaming expecting net profit growth acceleration yoy in 2027E on less non-operating expenses. Its revenue from power equipment sales was Rmb449m (+44.4% yoy) or 40.9% (+8.4ppts yoy) in 1H26; management expects such high growth to persist amid strong demand and its revenue from power equipment sales to be >50% from export in 2027E. We expect its net profit growth to accelerate yoy in 2027E expecting less non-operating expenses. Its 16% 2026–28E EPS CAGR looks decent to us.

NARI Technology (600406 CH, Buy) – 1H26 Profit Miss due to Forex & Impairment Losses; Core Profit Still Looks Fine

NARI's 1H26 net profit (+4% yoy) was below consensus owing to forex and impairment losses; stripping out these, the net profit would have been +11% yoy, in line with market forecasts. Its new order growth was robust +28.8% yoy in 1H26 though much of this could be from low GP margin (15–20%) ESS sales. **We maintain our Buy rating as we expect its core profit should be able to rise near 10% pa going forward** amid PRC's higher grid investments and NARI's improved market position with new product development. It has defensive earnings.

TBEA (600089 CH, Buy) – 1H26 Profit Miss on Impairment & Fair Value Losses; Gross Profit Rise

TBEA's 1H26 net profit miss was owing to more impairment and fair value losses. Its gross profit rose 19.1% yoy in the period with improvement from polysilicon, gold, transformer cable & wire as well as aluminum sales, more than enough to offset less from coal and electricity sales. We reiterate our Buy call due to (i) TBEA being one of the top 10 global transformer makers with a bright outlook; (ii) further large impairment loss from polysilicon looks unlikely as market price is low; and (iii) mid teen 2027E PER looks inexpensive for being one of the global top-10 high voltage transformer makers.

Wasion (3393 HK, Buy) – 1H26 Earning Miss; High Growth from Overseas Data Centers

Wasion's 1H26 net profit was +1.4% yoy to Rmb446m in 1H26, shy of consensus (Bloomberg) forecasting it to +31% yoy to Rmb1,389m in 2026E. We attribute the earnings miss to (i) GP margin cut by 3.6ppts yoy to 34.2% for its smart grid solutions segment and (ii) net profit decline of 33.7% yoy to Rmb202m of its 59.55% held subsidiary Willfar Information (688100.SS, NR). The bright spot was overseas revenue surge +92% yoy to Rmb2,390m in 1H26 with a significant amount (+18.6x yoy to Rmb1,030m) from data centers in the digital energy service segment. We reiterate our Buy call in particular for its bright outlook of its digital energy service segment driven by high demand growth from data centers. Its below 10x 2027E PER looks inexpensive.

Qingdao TGOOD Electric (300001 CH, Buy) – 1H26 Net Profit +31% YoY on Margin Expansion; New Order Catalyst in 2H26E

TGOOD reported net profit +30.7% yoy to Rmb428m in 1H26, including +35.6% yoy to Rmb356m in 2Q26, in line with preliminary results. Its 1H26 net profit growth was contributed by total revenue growth of +6.1% yoy to Rmb6,635m mainly from more electrical equipment sales, GP margin expansion +1.1ppts yoy to 26.8% with improved performance from both segments, and less credit impairment -60.0% yoy to Rmb26m. Its 1H26 net profit consists of (i) +22.3% yoy

to Rmb398m from electrical equipment sales, and (ii) Rmb30m from EV charging business, vs. Rmb2m in 1H25. We reiterate our Buy on TGOOD given its solid 1H26 profit growth with margin expansion along with potential gains from electrical equipment demand from overseas markets and datacenter construction. Positive catalysts could come from potential grid orders from Saudi Arabia in 2H26E. It has high 24% 2025-27E EPS CAGR, based on our forecasts.

PRC Power Plant Equipment Sector – 1H26 Thermal Profit Beat Estimates

Figure 15. PRC Plant Equipment Sector 1H26 Result Review

Company		Currency	1H25 net profit	1H26 net profit	YoY	Miss or Comment on 1H26 results and key takeaways
Dongfang Electric	1072.HK	Buy Rmbm	1,910	2,713	42.1%	Beat * Modest profit growth in 15th 5-year period for more from export, hydro & gas
Harbin Electric	1133.HK	Buy Rmbm	1,051	1,718	63.5%	Beat * 1H26 earnings beat from higher than expected margin of thermal power equipment sales
Shanghai Electric	2727.HK	Buy Rmbm	821	970	18.2%	Beat * 1H26 net profit growth mostly from non-operating gains

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Source: Citi Research, Company Reports

Dongfang Electric (1072 HK, Buy) – Company Guides for Continuous Growth

We hosted a post-1H26 result call with Dongfang Electric (DF). While its 2Q revenue (-2.0% yoy) and 1H new orders (+6.7% yoy) seem weaker than expected, DF guides for continued growth in the 15th five-year period boosted by (i) exports, (ii) hydro equipment sales (e.g., Tibet project orders from 2028E) and (iii) gas equipment sales, offsetting fewer coal-fired equipment sales from 2028E. Its low-teen 2027E PER looks inexpensive for a PRC industry leader, in our view.

Revision of PRC Power Capacity Addition Forecasts

Figure 16. PRC Cumulative Power Generating Capacity (MW)

	2024	2025	2026E	2027E	2028E	2029E	2030E	2031-60E
Year beginning	2,919,650	3,352,860	3,891,340	4,243,874	4,642,541	5,069,338	5,496,801	n/a
Add: new completion	443,210	548,480	362,534	408,667	436,797	437,463	449,742	n/a
Less: closure (& delayed addition)	-10,000	-10,000	-10,000	-10,000	-10,000	-10,000	-10,000	n/a
Year end	3,352,860	3,891,340	4,243,874	4,642,541	5,069,338	5,496,801	5,936,543	11,900,000
yoy	14.8%	16.1%	9.1%	9.4%	9.2%	8.4%	8.0%	2.3%
Fuel breakdown:								
Coal	1,194,980	1,265,240	1,315,240	1,355,240	1,395,240	1,430,240	1,465,240	200,000
Hydro	435,950	448,020	465,020	487,020	512,020	539,020	569,020	800,000
Natural Gas	143,700	163,620	183,620	203,620	223,620	243,620	263,620	700,000
Nuclear Power	60,830	62,480	68,694	81,041	88,518	94,661	105,083	300,000
Wind Power	520,680	640,010	745,010	865,010	995,010	1,130,010	1,270,010	3,500,000
Solar Power	886,660	1,201,730	1,351,730	1,531,730	1,731,730	1,931,730	2,131,730	6,000,000
Others	105,820	110,140	114,460	118,780	123,100	127,420	131,740	400,000
Total from wind & solar power	1,407,340	1,841,740	2,096,740	2,396,740	2,726,740	3,061,740	3,401,740	9,500,000

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Source: Citi Research, Company Reports

Dongfang guides for PRC coal-fired equipment tendering to drop from 61GW in 2025 to 45GW in 2026E; the tendering in this year will be mostly to be completed in 2028E. **We raised our PRC coal-fired capacity additions in 2028/29/30E to 40GW/35GW/35GW, from 25GW pa previously.**

Figure 17. PRC Annual Power Capacity Addition (Net-closure) (MW)

	2024	2025	2026E	2027E	2028E	2029E	2030E	2031-60E
Coal	32,490	70,260	50,000	40,000	40,000	35,000	35,000	-42,175
Hydro	13,780	12,150	17,000	22,000	25,000	27,000	30,000	7,699
Natural Gas	18,990	19,920	20,000	20,000	20,000	20,000	20,000	14,546
Nuclear Power	3,930	1,530	6,214	12,347	7,477	6,143	10,422	6,497
Wind Power	79,820	120,480	105,000	120,000	130,000	135,000	140,000	74,333
Solar Power	278,000	317,510	150,000	180,000	200,000	200,000	200,000	128,942
Others	6,200	4,320	4,320	4,320	4,320	4,320	4,320	8,942
Total	433,210	546,170	352,534	398,667	426,797	427,463	439,742	198,785

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Source: Citi Research, Company Reports

Meanwhile, we trim PRC 26/27/28/29/30E renewable capacity additions due to lowered new project returns and higher solar capacity addition mix being distributed ones hence not connected to grids (thus excluded from grid connected capacity addition calculation), including (i) 105GW/120GW/130GW/135GW/140GW for wind, from 110GW/130GW/140GW/150GW/150GW previously; and (ii) 150GW/180GW/200GW/200GW/200GW for solar, from 180GW/220GW/250GW/250GW/250GW before.

Figure 18. PRC Annual Power Generation Volume (M MWh)

	2024	2025	2026E	2027E	2028E	2029E	2030E	2031-60E
Coal	5,679	5,819	5,613	5,609	5,615	5,626	5,578	663
Hydro	1,424	1,464	1,565	1,639	1,723	1,814	1,915	2,707
Natural Gas	319	353	396	440	483	526	594	2,078
Nuclear Power	447	481	510	610	666	712	810	2,255
Wind Power	997	1,127	1,266	1,473	1,705	1,955	2,214	7,618
Solar Power	838	1,172	1,363	1,536	1,740	1,960	2,180	7,123
Others	210	0	225	233	242	251	259	791
Total	9,913	10,417	10,937	11,539	12,174	12,843	13,550	23,236
yoy	6.7%	5.1%	5.0%	5.5%	5.5%	5.5%	5.5%	1.8%
check (should be "zero")	0.00	0.00	0.00	0.00	0.00	0.00	0.00	n/a
Annual power demand growth	6.8%	4.8%	5.0%	5.5%	5.5%	5.5%	5.5%	1.8%
% from non-fossil fuel	37.4%	40.7%	43.0%	45.6%	47.9%	50.1%	52.5%	84.8%
% from wind & solar	18.5%	22.1%	24.0%	26.1%	28.3%	30.5%	32.4%	63.4%
% from coal	57.3%	55.9%	51.3%	48.6%	46.1%	43.8%	41.2%	2.9%

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Source: Citi Research, Company Reports

Figure 19. Annual Utilization Hours of Chinese Power Plants

	2024	2025	2026E	2027E	2028E	2029E	2030E	2031-60E
Coal	4,628	4,445	4,124	4,000	3,890	3,802	3,680	3,000
Hydro	3,349	3,300	3,400	3,400	3,400	3,400	3,400	3,400
Natural Gas	2,363	2,300	2,300	2,300	2,300	2,300	2,400	3,000
Nuclear Power	7,683	7,683	7,400	7,500	7,500	7,500	7,683	7,600
Wind Power	2,127	2,050	1,900	1,900	1,900	1,900	1,900	2,200
Solar Power	1,211	1,150	1,100	1,100	1,100	1,100	1,100	1,200
Others	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000
Total	3,442	3,119	2,811	2,719	2,622	2,534	2,465	1,953
yoy (all units)	-4.4%	-9.4%	-9.9%	-3.3%	-3.6%	-3.4%	-2.7%	n/a
yoy (coal-fired units)	-1.3%	-4.0%	-7.2%	-3.0%	-2.8%	-2.3%	-3.2%	n/a

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Source: Citi Research

PRC Wind Sector – Prefer Equipment Suppliers to Operators

Dajin Heavy (1081 HK, Buy) – 2Q26 Profit Miss on Shipment Delay; Long-Term Outlook Still Bright

Dajin's 2Q26 net profit missed at -47.4% yoy to Rmb166m dragged by delay delivery and forex loss. We nevertheless maintain our Buy rating given (i) Dajin guides for significant European offshore-wind tenders to occur in late-2026E and early-2027E hence there are significant new order opportunities; (ii) much of its delay delivery in 2026E will be postponed to 2027E; and (iii) it has extra value from in house shipping and shipbuilding. Its 10.5x 2027E PER looks undemanding with 56% 2026-28E EPS CAGR.

Goldwind (2208 HK, Buy) – Sustainable High EPS Growth Despite Lowered Sales Volume Growth Offset by Margin Rise

Following Goldwind's 1H26 results call, we reiterate our Buy rating and continue to forecast >20% 2025-28E EPS CAGR. The company trimmed its 2026E wind turbine generator (WTG) shipment volume guidance from 40GW to 35GW, due to less tendering in the domestic market, albeit this is in line with our model and likely well-anticipated by the market also. In addition, though it kept its GP margin target of 9-10% for WTG sales in 2026E (up from 8.9% in 2025), we think this is conservative taking into account the margin beat (11.4%) in 1H26 and increase of high-margin products in the sales mix (including export and offshore projects) to 26% (+4ppts yoy) this year. Furthermore, its green hydrogen/green methanol project in Inner Mongolia is due to start production at end-2026E potentially driving earnings upside. Goldwind's single digit 2027E PER and below 1.0x PB appear inexpensive in context of its market leading position.

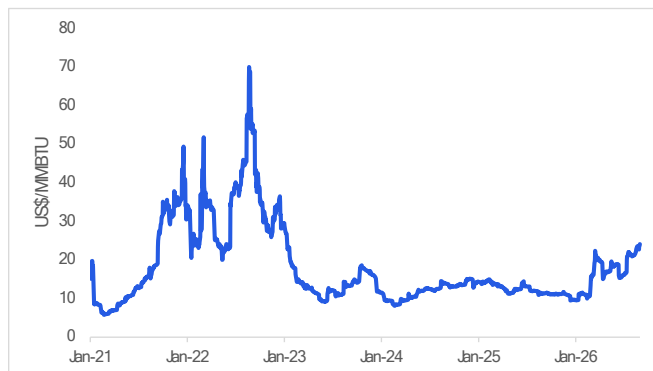
Ningbo Orient Wires & Cables (603606 CH, Buy) – Soft 1H26 Likely Timing Noise

We hosted an investor call with NBO's board secretary recently. Key takeaways: (i) management expects more acceptance-driven revenue recognition in 2H26E, and we see margin upside from booking of 500kV subsea cable sales; (ii) NBO targets revenue to double from Rmb10.8bn in 2025 to Rmb20bn by 2030E, while raising overseas sales mix from 11.6% to 25%; and (iii) management attributed the muted offshore wind tendering markets in 1H26 to project preparation work associated with the first year of the 15th Five-Year Plan (FYP), with activity expected to accelerate from 2H26E onward. NBO's share price has been pressured in recent months by concerns over slower offshore wind demand and equipment tendering. We believe these concerns are more related to project timing while long-term demand visibility has strengthened with clear national targets. NBO remains well positioned to benefit from the next offshore wind investment cycle. Its mid-teens 2027E PE looks attractive to us.

PRC Gas Sector – Prefer Upstream to Downstream

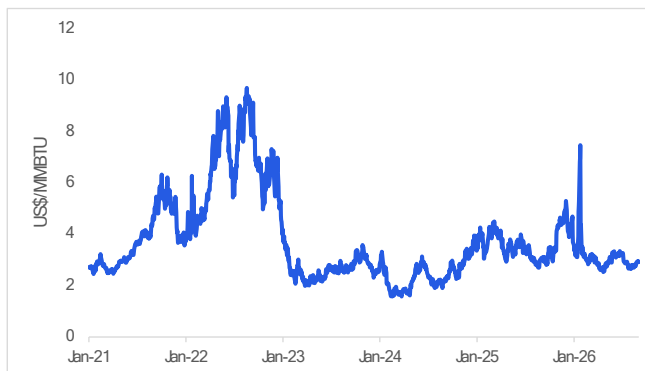
We prefer upstream to downstream plays in the gas sector on margin increases YoY in 2H26E. In the PRC gas sector, we prefer companies namely Kunlun (135 HK, Buy), HKCG (3 HK, Buy) and ENN NG (600803 CH, Buy) with upstream exposure gains from ASP hikes.

Figure 20. JKM NG Future Price



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Source: Citi Research, Bloomberg

Figure 21. Henry Hub NG Future Price



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Source: Citi Research, Bloomberg

China NG consumption was weak -2.6% yoy to 266.5bcm in 8M26, including -2.9% yoy to 32.4bcm in Aug. We attribute the reduction to increase in retail PRC gas prices making them less competitive versus those of other kinds of energy.

Figure 22. PRC NG supply and demand outlook

(unit: bcm)	2024	YoY	2025	YoY	2026E	YoY	2027E	YoY	2030E	CAGR	2060E
Demand	421	7%	427	0%	423	-1%	431	2%	460	2%	1,200
Supply:											
Domestic sources: (1)	246	7%	260	6%	263	1%	271	3%	n/a	n/a	n/a
- gas field	194	6%	206	6%	207	1%	212	2%	n/a	n/a	n/a
- coal-bed methane	17	32%	18	9%	20	8%	21	5%	n/a	n/a	n/a
- coal gasification	8	12%	8	7%	8	-5%	8	0%	n/a	n/a	n/a
- shale gas	28	-1%	27	-1%	28	3%	31	10%	n/a	n/a	n/a
Import: (2)	186	11%	175	-6%	171	-2%	174	2%	n/a	n/a	n/a
- Central Asia	50	7%	41	-5%	41	0%	41	0%	n/a	n/a	n/a
- Russia	24	32%	39	25%	39	0%	40	2%	n/a	n/a	n/a
- Burma Road	5	9%	4	11%	4	0%	4	2%	n/a	n/a	n/a
- LNG terminals	108	8%	92	-15%	87	-5%	89	2%	n/a	n/a	n/a
Total supply (1)+(2)	432	9%	435	1%	434	0%	445	2%	n/a	n/a	n/a
YoY											
Less:											
- export to HK & Macau	-5	n/a	-5	n/a	-5	n/a	-5	n/a	n/a	n/a	n/a
- inventory	-15	n/a	-15	n/a	-15	n/a	-15	n/a	n/a	n/a	n/a
- wastage	-10	n/a	-10	n/a	-10	n/a	-10	n/a	n/a	n/a	n/a
Net supply	402	n/a	405	n/a	404	n/a	415	n/a	n/a	n/a	n/a
Oversupply (=supply-demand)	10	n/a	8	n/a	12	n/a	14	n/a	n/a	n/a	n/a
Supply breakdown:											
- domestic	57.0%		59.8%		60.6%		60.9%				
- import	43.0%		40.2%		39.4%		39.1%				

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Source: Citi Research, NDRC, National Energy Administration

ENN Natural Gas (600803 CH, Buy) - Dollar Margin Rises for Direct Gas Sales, Led by Overseas Markets

Based on our post 1H26 result investor meetings with ENN Natural Gas (ENN NG) recently, we are positive on the stock owing to:

Profit from direct gas sales in 2027E. Profit from this source would decline HoH from Rmb1.6bn in 1H26 to Rmb800-900m in 2H26E per the company, though the latter will still rise yoy vs. Rmb553m in 2Q25 (including Rmb328m in 3Q25 and Rmb225m in 4Q25). The 1H26 profit comprised Rmb475m from domestic sales of 1.3bcm at dollar margin of Rmb0.36/m³ with gas supplied from PetroChina Group under long-term contract as well as overseas sales of 1.1bcm at dollar margin of Rmb1.14/m³ from 7 shipments under long term take-or-pay contracts. We expect its profit from direct gas sales should be higher yoy in 2027E with low hedging ratio; so far, only 4-5 (or 17-21%) out of the 24 shipments of direct gas sales overseas in 2027E have been sold via contracts.

Dollar margin rise of direct gas sales would rise in 2027E. The margin was average Rmb0.72/m³ in 1H26, comprising Rmb0.36/m³ for domestic and Rmb1.14/m³ for overseas, up from average Rmb0.40/m³ in 2025 taking into account Rmb0.12/m³ for domestic and Rmb0.76/m³ for overseas. The company guides the dollar margin to be at least Rmb0.50/m³ in 2026E (including Rmb0.6-0.7/m³ for overseas sales in 2H26E) with much (>80%) of the hedging by forward contracts being done for its overseas sales in 2H26E prior to the start of the Middle East conflict lifting the sales mix with hedging from 30% in 1H26 to 70-80% in 2H26E. Its hedging loss was Rmb140m in 1H26 and will be raised to Rmb500m in 2H26E in view of the recent spot price rises, per the company. Additionally, dollar margin of direct gas sales in China would also see some decline HoH in 2H26E due to increased unit gas cost from delayed price increase of local feedstock cost supplied from PetroChina Group lagging behind spot prices by 4-5 months.

We expect the volume of direct gas sales would increase yoy in 2027E. ENN NG had 7 LNG shipments received under long-term take-or-pay contracts in 1H26; of which 3 were sold overseas. The shipments will be raised to 10 (including 6 from old contracts of 0.9m tonnes pa effective from 2022 and 1 from a new contract also of 0.9m tonnes pa effective from 2026) in 2H26E and further to 24 (comprising 12 from the old contract and 12 from the new one) in 2027E.

The utilization of Zhoushan's LNG terminal was low close to 30% in 1H26, when handling fee scale was relatively flat yoy, amid increased spot LNG prices when 9 shipments were handled (including 5 belonging to ENN Energy; ENN Energy had 8 LNG shipments in 1H26, with 3 sold overseas and 5 imported into China). The utilization in 1H26 was well below that in 2025 handling 37 shipments. The company guides the utilization to rise HoH in 2H26E expecting to handle 12-13 shipments, of which 6 would be for ENN Energy, comprising 2-3 in Jul-Aug. Profit from the LNG terminal could be relatively low at Rmb400m profit this year per our estimate (mostly from gas storage for third parties) owing to the low utilization; if the utilization rises to 80-90%, profit from the terminal could rise to more than Rmb2bn pa. The investment for the LNG terminal was nearly Rmb10bn.

ENN NG will book a Rmb1.6bn disposal gain in 4Q26E from the sale of pipelines linked to the Zhoushan LNG terminal. This disposal would not have a significant impact on ENN NG's profit as its net profit was slightly above Rmb100m in 2025. The disposal price was Rmb4bn. Including this disposal gain, ENN NG's profit would beat the net profit requirement of Rmb5,449m in 2026E under its restricted stock incentive plan. We also expect ENN NG to be able to meet its net profit target (Rmb6,227m) in 2027E with more direct gas sale earnings due to extra 7 shipments and lower hedging ratio. Profits from each shipment could be over Rmb200m

based on US\$20/bbl spot price and below Rmb50m if at US\$10/bbl. ENN NG assumes LNG spot price to remain high in 2027E hence plans to have low hedging ratio for next year. The prevailing forward price for 1Q2027E are between US\$15-17/bbl for 1Q27E and lower at US\$11-12/bbl for 4Q27E.

ENN NG has strong cash flow. Its capex (ex-ENN Energy) is just Rmb500-600m in 2026E mostly for the Zhoushan LNG terminal; capex will be even less in 2027E. The majority of its ~Rmb1bn dividend income from ENN Energy (at HK\$3 DPS) would be used for share repurchase of ENN Energy. So far, more than 8m shares of ENN Energy have been bought raising its stake to close to 35% of the latter. It booked Rmb40-50m one off expenses from ENN Energy's privatization plan in 1H26.

Kunlun Energy (135 HK, Buy) - 1H26 Profit Beat from Upstream; Attractive Yield with Share Buyback

We reiterate our Buy rating on Kunlun since (i) its 1H26 net profit (+4.6% yoy) was slightly better than expected boosted by more contributions from upstream crude oil sales with ASP rise; (ii) we expect its upstream profit to rise yoy in 2H26E based on prevailing crude oil price; (iii) its single digit 2026E PER, below 1.0x PB and nearly 6% yield looks attractive. Additionally, its share repurchase helps to support share price. In 1H26, it repurchased 39m shares, equal to 45% of the planned annual total; we expect more repurchases in 2H26E.

ENN Energy (2688 HK, Neutral) - 1H26 Core Profit in-line with Steady Retail Gas Profit & 6.1% Yield

ENN's core profit was -1.5% yoy in 1H26, in line with market expectations with steady recurrent contribution from retail gas business. Dividend is its key attractiveness with management promising not less than HK\$3/share in 2026E, translating into 6.1% yield. We think this achievable endorsed by its rising positive free cash flow amid capex cut of retail gas business. We maintain our Neutral rating given steady retail gas profit, rising positive free cash flow and decent (6.1%) 2027E yield but low retail gas sales volume growth and year-on-year reductions of revenues from connection fee, integrated energy business and value-added business.

Towngas Smart Energy (1083 HK, Neutral) - 1H26 Profit Miss for Sharp Renewable Tariff Cut; Neutral due to 6.0% Yield

Towngas Smart Energy (TSE) 1H26 results missed market expectations with net profit -9% yoy to HK\$690m in 1H26 due to profit cuts from its renewable energy business dragged by tariff decline. Its total operating profit was -3% yoy to HK\$992m in the period, comprising +7% yoy to HK\$912m from gas business and -53% yoy to HK\$80m from renewable energy business. Interim DPS was unchanged yoy at HK\$0.05. Our rating is Neutral mainly due to its 6.0% 2026E yield, assuming its DPS remains intact.

China ESS & Solar Sector – Upbeat on ESS Growth but Cautious on Solar

Sungrow Power Supply (300274 CH, Buy) – 1H26 Profit Miss for Sharp Revenue Cut; Expecting Better in 2H26

Sungrow's 1H26 results missed expectations, with net profits falling 32.0% yoy resulting from less-than-estimated revenue (-29.0% yoy), with reductions from both inverters (-19.1% yoy) and energy storage systems (-13.2% yoy). Geographically, these cuts were from China (with installation cuts) and the Middle East (high base and conflict there). We keep our Buy rating, expecting its profit to resume yoy growth (+12.4% yoy) in 2H26E on a low base in China after rush installations ended on 31 May 2025. Its mid-teens 2027E PER seems not high.

Deye (605117 CH, Buy) – FY26 Target Upgrade on Robust Europe Growth

Deye revised up revenue target from Rmb20bn to Rmb25bn (+104.5% yoy) in 2026E with strong ESS demand outlook in Europe. Its net profit was +78.5% yoy to Rmb2,717m in 1H26, including +87.3% yoy and +28.8% qoq to Rmb1,530m in 2Q26. Blended GP margin was +0.2ppt yoy to 37.6% in 1H26, including -46.8% (-1ppt yoy) from inverters and 28.9% (-6.1ppts yoy) from battery packs due to inflated cost and tax rebate cut. Interim dividend was Rmb1.60/share at payout ratio +9.0ppts yoy to 75%. We maintain Buy on Deye, as it benefits from robust ESS demand growth as a cost leader. Its mid-teens 2027E PE looks undemanding versus 39% 2025–28E earnings CAGR.

Sigenergy (6656 CH, Buy) – Winning with Product Performance

We have a Buy rating and DCF TP of HK\$500/share on Sigenergy. It is one of the fastest-growing companies in the residential energy storage system (ESS) sector. We like Sigenergy for its (i) differentiation from peers with its all-in-one design and premium product strategy, which led to rapid market share gains; (ii) new growth engines from C&I and utility-scale business, leveraging transferrable product strengths and management team's experience with strong Huawei background; and (iii) attractive and discounted PER versus peers. We attribute its share price decline post IPO to concerns over margin cut, while we think the impact could be offset by volume growth. Its net profit was +201% yoy to Rmb2,428m in 1H26. Our model assumes normalized margins. Likely catalysts: Stock Connect inclusion in September and expiry of shares lock-up in October improving liquidity.

Maxwell Technology (300751 CH, Buy) – Upgrade to Buy on More Semiconductor Orders & Earnings Recovery

We recently upgraded Maxwell to Buy from Sell as (i) its new orders from semiconductor equipment business could triple yoy in 2026E; (ii) its solar equipment business is at a trough hence probably with limited downside; and (iii) management concurs with our view that its earnings would resume growth from 2027E. Although our 2026/27E net profits were cut 37%/8% mainly on more forex & impairment losses, our DCF TP is +52% to Rmb250/share after rollover and WACC update. Its 35.2x 2028E PER looks justified on profit to quadruple in 2026–28E and high entrance barrier of PRC substitution of semiconductor equipment supply instead of import.

Hangzhou First Applied Material (603806 CH, Buy) – Margin Expansion in 1H26; Positive Outlook for Electronic Materials

HZ First reported net profit of +4.6x yoy and +70.1% qoq to Rmb530m in 2Q26, boosted by GP margin +8.7ppts yoy and +6.2ppts qoq to 20.1% despite revenue decline. Its GP margin from PV film sales was +5.6ppts yoy to 17.0% in 1H26 thanks to reduced material cost and improved sales prices in 2Q26. Positive from revenue and margin expansion from sales of photoresist dry films used in PCB production, including sales volume +21.9% yoy to 109m m2 and GP margin +4.3ppts yoy to 29.1% in 1H26 contributed by product mix upgrade. Reiterate Buy expecting hoh shipment growth from both PV films and photoresist films in 2H26E.

Xinyi Solar (968 HK, Buy) – Supply Rationalization Sets the Stage for Recovery

We have a Buy rating on Xinyi Solar expecting its profitability to gradually improve in 2H26E, driven primarily by accelerating solar glass capacity rationalization, seasonal demand recovery and gradual supply-demand rebalancing. Recent regulatory initiatives aimed at curbing below-cost selling in China solar supply chain could provide incremental support, although the effectiveness depends on policy implementation. Global solar glass capacity declined by 10% to 89,150 ton/day in 7M26, and we expect further furnace shutdowns in 2H26E, which should ease pricing pressure and support a gradual recovery in industry profitability. We see attractive risk reward at 0.6x 2026E PB.

GCL Technology (3800 HK, Buy/High Risk) – Expecting Gradual Polysilicon Recovery; LFP Business Scales Up

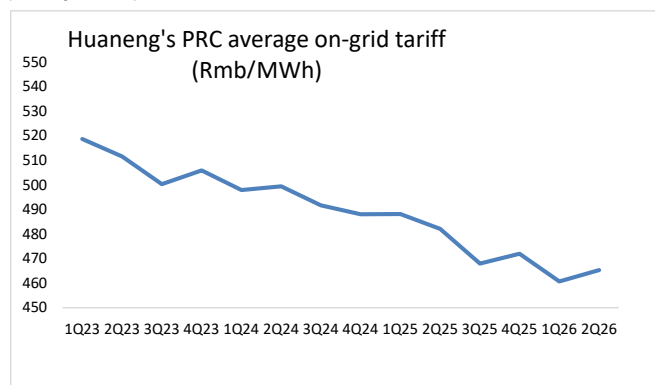
GCL's net loss widened 17.2% yoy to Rmb2,081m in 1H26, mainly affected by weak polysilicon pricing, FX loss and asset disposal losses. Looking ahead, management indicated signs of polysilicon price recovery, following anti-involution measures and regulatory oversight. Meanwhile, GCL's lithium iron phosphate (LFP) business has started production and is expected to become the company's key growth driver. We maintain Buy/High Risk on GCL for expecting gradual earnings recovery from solar business and new growth opportunities from battery materials, with an undemanding 0.4x 2026E PB.

Daqo New Energy (DQ US, Buy/High Risk) – 2Q26 Loss Not a Surprise; Expecting a Gradual Recovery Ahead

DQ reported net loss of US\$81.2m in 2Q26, -8.2% qoq but +40.2% yoy, which is not a surprise given sharp polysilicon price drop in the quarter. Sales volume was -57.4% yoy to 19,672MT in 1H26, including -16.2% yoy to 15,190MT in 2Q26, as the company adhered to the discipline of not selling below cost. In the result briefing call, management highlighted that polysilicon prices started to show signs of recovery (from Rmb31/kg in late July to Rmb40/kg now) following recent anti-involution measures. And they expected to see forced exit of manufacturers with high production cost and insufficient cash reserves in next 6-18 months under the newly introduced regulatory framework. We maintain Buy/High Risk rating on DQ, expecting its profitability to improve as polysilicon price gradually recovers. Its share price is highly correlated with polysilicon prices (Figure 2). We see good risk reward on DQ with attractive 0.2x 2026E PB.

PRC Power Sector – Margin Cut from Cost Increase

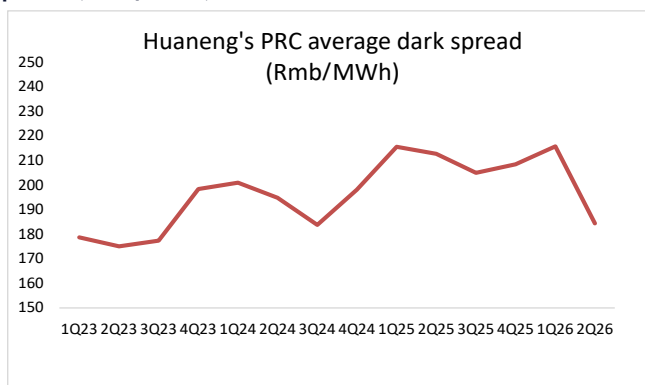
Figure 23. Huaneng's PRC average on-grid tariff (Rmb/MWh)



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Source: Citi Research, Company Reports

Figure 24. Huaneng's PRC average dark spread of coal fired plants (Rmb/MWh)



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Source: Citi Research, Company Reports

Huaneng Power (902 HK, Sell) – 2Q26 Earnings Miss on Unit Fuel Cost Trough in 1Q26 and Rebound in 2Q26; Sell for Low Yield

Huaneng Power's reported earnings miss with net profit (PRC GAAP) -51.0% yoy and -53.1% qoq to Rmb2,102m in 2Q26 primarily suffering from unit fuel cost rise (+4.3% yoy and +14.7% qoq to Rmb281.03/MWh). For 1H26, its net profit (IFRS) reduced 28.3% yoy to Rmb6,868m, which was worse than consensus estimate assuming to -17% but similar as Citi forecasting it to -28% in 2026E. The 1H26 profit decline were mostly from (i) higher than expected PRC unit fuel cost at Rmb263/MWh (-2.6% yoy), including a rebound +14.7% qoq to Rmb281/MWh in 2Q, (ii) on-grid PRC tariff decline by 4.58% yoy to Rmb463.02/MWh mostly from intensified market-based competition; (iii) PRC electricity sales volume cut (-2.97% yoy to 199.578bn kWh) and (iv) less earnings (-45.6% yoy to Rmb614m) from Tuas Power in Singapore with increased power purchase cost subject to higher carbon tax. We expect consensus (Bloomberg) 2026E net profit to be cut.

HK Utilities – The Higher Yield, The Better

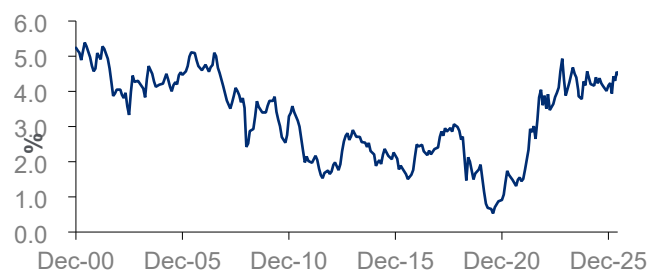
Figure 25. HK utility share price's correlation with interest rate since 1998

	US\$ bond yield	HK\$ bond yield	HK\$ prime rate	3 months HIBOR
CLP	-78%	-83%	-58%	-51%
PAH	-73%	-79%	-58%	-59%
CKI	-69%	-74%	-53%	-44%
HKCG	-57%	-64%	-38%	-60%
HKEI	-66%	-70%	-52%	n/a
GDI	-74%	-73%	-28%	-26%
HSI Index	-63%	-71%	-42%	-43%

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Source: Citi Research, Bloomberg

Figure 26. US\$ 10-year treasury yield



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Source: Citi Research, Bloomberg

Guangdong Investment (270 HK, Buy) – 1H26 Results Beat; Top Pick in HK Utility Sector for 6.0% 2027E Yield

Guangdong Investment (GDI) interim DPS was +9.5% yoy to HK\$0.2919 keeping payout ratio unchanged at 65%. Our SOTP target price is +5.6% to HK\$9.5/share on more profits & cash inflow. GDI has strong recurrent cash inflow to pay dividends and aims to accumulate HK\$4bn cash pa to pay for extension of concession rights of water supply to HK. Its 6.0% 2027E yield looks attractive, the highest among HK utility, and sustainable.

Hong Kong & China Gas (3 HK, Buy) – Buy on Positive Surprise from Sustainable Biofuel Sales

We recently upgraded Hong Kong & China Gas ('HKCG') to Buy from Neutral in view of better than expected performance of its advanced biofuel business leading to 1H26 result beats, and we expect the improved performance to be sustainable due to strong market demand endorsed by sustainable aviation fuel ('SAF') mandates in EU and the UK. Our HKCG 2026–28E net profits are raised 16–20% mainly on more from biofuel sales. Our SOTP target price is +9.3% to HK\$8.20/share, the highest in the market. We also see this upside surprise as a key achievement of HKCG's business restructuring plan. Its 2027E PER is discounted to its 23.4x historical average.

CLP (2 HK, Neutral) – H26 Earnings Beat but No DPS Rise; Neutral for 4.3% 2026E Yield

We keep our Neutral rating on CLP in view of its low earnings risk (84% 1H26 operating profit from HK at fixed 8% ROA). Despite its 1H26 results beat, its share price upside might be mild as (i) its 4.3% 2026E yield is not high vs. 4.6% 10-year US\$ treasury yield; (ii) its 1H26 results beat from improvement of its Australian performance might not persist in 2H26–1H27E; and (iii) earnings gap might emerge from Yallourn closure in mid 2028E.

CK Infrastructure (1038 HK, Buy) – TP Cut for Management Guides Less Expectations on Special Dividend

While CKI's 1H26 earnings were impressive boosted by disposal gains and core profit of existing assets +15% yoy to HK\$3,291m, we were surprised at management guiding down special dividend distribution concerning equity base to be scaled down. We think that CKI might take at least 2 years to seek M&As (e.g., Thames Water) before special distribution in 2028-29E if no sizable deal could be done. We keep our Buy rating for potential gain from deals ahead.

Power Assets (6 HK, Buy) – TP Cut for Management Guides Less Expectations on Special Dividend

While Power Assets' (PAH) 1H26 earnings were impressive, boosted by disposal gains, and core profit of existing assets +24% yoy with return rises from resets plus more interest income, we were surprised that management guided down special dividend distribution with concern for equity base to be scaled down. We think that PAH might take at least 2 years to seek M&A (e.g., Thames Water) before a special distribution in 2028-29E, if no sizable deal can be done. We keep our Buy call for possible gains from new deals and the 4.9% yield.

HK Electric Investments (2638 HK, Neutral) – Neutral for 5.0% Yield; Prefer Guangdong Investments with 5.7%

We keep our Neutral rating on HK Electric Investment ('HKEI') as its 1H26 results were inline. It has defensive earning base making fixed 8% ROA from HK electricity business from SOC asset base rising at 2.8% five-year CAGR. While its 5.0% 2026-28E yield will be decent and sustainable, it is not much higher than the prevailing US 10-year treasury yield of 4.7%. HKEI's DPS also lacks growth hence this stock, in our view, is similar to bond-like investments which might de-rate if US\$ interest rate rises. Among HK utilities, we prefer Guangdong Investment (270 HK, Buy) with 5.7% 2026E yield.

Figure 27. Asia diversified utilities and power equipment valuation comparison

	RIC	Citi Rating	Price 8 Sep 2026	Target Price	ETR	Mkt-Cap US\$m	Avg t/o US\$m	Share Price Movement					P/E (x)		P/B (x)		Yield (%)	
								1-wk	1-mth	3-mth	6-mth	12-mth	2026E	2027E	2026E	2027E	2026E	2027E
Korea (Grid Equipment & Utilities)																		
Hyosung Heavy	298040.KS	Buy	W2,834,000	W3,500,000	24%	19,647	105.8	-3%	0%	-11%	14%	135%	32.0	23.4	8.6	6.5	0.4%	0.6%
HD Hyundai Electric	267260.KS	Buy	W728,000	W1,100,000	52%	19,511	96.6	-5%	-4%	-18%	-25%	43%	27.3	20.9	9.3	6.9	0.7%	1.0%
LS Electric	010120.KS	Buy	W200,500	W320,000	60%	22,360	131.3	-2%	0%	-4%	42%	249%	57.3	40.9	12.4	10.3	0.6%	0.8%
KEPCO - KR	015760.KS	Buy	W34,100	W47,000	41%	16,276	49.7	5%	-4%	-5%	-30%	-9%	4.3	2.7	0.4	0.4	2.7%	4.2%
China (Power & Grid Equipment)																		
Sieyuan	002028.SZ	Buy	Rmb139.45	Rmb216.00	56%	16,261	301.7	-1%	-14%	-21%	-40%	50%	29.3	22.4	5.9	4.8	0.6%	0.8%
Pinggao	600312.SS	Buy	Rmb19.62	Rmb24.50	27%	3,967	65.9	-1%	-4%	6%	-22%	25%	19.4	16.8	2.2	2.0	2.2%	2.6%
XJ	000400.SZ	Buy	Rmb21.59	Rmb33.00	55%	3,277	62.0	0%	-5%	-2%	-36%	-9%	17.0	15.9	1.7	1.6	2.4%	2.5%
NARI	600406.SS	Buy	Rmb22.41	Rmb28.00	28%	26,821	203.6	-2%	-7%	-2%	-25%	1%	20.5	18.9	3.2	3.0	2.9%	3.2%
Huaming Power Equipment	002270.SZ	Buy	Rmb19.81	Rmb28.00	45%	2,646	56.1	1%	-2%	1%	-46%	4%	22.5	19.0	5.2	4.8	3.2%	3.6%
Wasion	3393.HK	Buy	Rmb14.26	Rmb22.00	58%	1,889	12.3	-7%	-29%	-31%	-45%	32%	10.6	8.5	1.8	1.6	3.8%	4.7%
TGood	300001.SZ	Buy	Rmb33.42	Rmb49.60	49%	5,255	143.2	-2%	-5%	-18%	1%	33%	24.3	18.5	3.6	3.1	0.7%	0.9%
Dongfang Electric	1072.HK	Buy	HK\$20.08	HK\$27.00	38%	8,858	26.7	-2%	-14%	-31%	-55%	18%	12.6	11.5	1.2	1.2	4.0%	4.4%
Harbin Electric	1133.HK	Buy	HK\$15.16	HK\$24.00	62%	4,324	13.8	-8%	-14%	-14%	-44%	68%	7.9	7.7	1.4	1.3	3.9%	4.0%
Shanghai Electric	2727.HK	Buy	HK\$3.08	HK\$4.50	47%	6,095	9.7	5%	-7%	-23%	-35%	-12%	27.7	27.9	0.7	0.7	1.1%	1.1%
China (Wind)																		
Dajin Heavy	1081.HK	Buy	HK\$27.40	HK\$43.00	58%	3,504	7.2	-4%	-29%	n/a	n/a	n/a	13.0	8.8	1.1	1.0	0.8%	1.1%
Goldwind	2208.HK	Buy	HK\$9.17	HK\$20.00	121%	4,934	33.2	-2%	-21%	-22%	-37%	-10%	8.3	7.2	0.7	0.7	3.8%	4.4%
Ningbo Orient Cables	603606.SS	Buy	Rmb33.99	Rmb60.00	78%	4,178	102.6	0%	-12%	-13%	-33%	-30%	16.3	12.8	2.9	2.5	1.9%	2.4%
China Suntien	0956.HK	Buy	HK\$3.32	HK\$4.20	32%	907	2.9	1%	8%	-3%	-23%	-26%	8.4	7.7	0.5	0.5	5.9%	6.5%
China Longyuan	0916.HK	Neutral	HK\$5.43	HK\$7.00	32%	2,298	15.4	1%	-1%	-15%	-32%	-31%	8.1	7.5	0.5	0.5	3.7%	4.0%
Mingyang Smart Energy	601615.SS	Sell	Rmb9.72	Rmb12.00	27%	3,276	107.5	-5%	-16%	-26%	-52%	-25%	16.2	12.2	0.8	0.8	3.1%	4.2%
China (Solar)																		
TBEA	600089.SS	Buy	Rmb19.08	Rmb28.00	49%	14,366	339.7	0%	-11%	-20%	-41%	26%	15.5	13.5	1.3	1.2	2.0%	2.3%
Maxwell	300751.SZ	Buy	Rmb193.00	Rmb250.00	30%	8,021	301.9	-7%	12%	-6%	-26%	97%	124.9	45.7	6.6	5.8	0.3%	0.4%
Sungrow	300274.SZ	Buy	Rmb87.85	Rmb140.00	61%	27,139	1,149.5	-2%	-23%	-40%	-41%	-36%	15.4	13.0	3.3	2.7	1.6%	1.9%
Sigenergy	6656.HK	Buy	HK\$13.20	HK\$500.00	61%	9,941	10.5	-6%	-1%	-20%	n/a	n/a	13.0	9.5	5.3	3.6	1.5%	2.1%
Deye	605117.SS	Buy	Rmb81.33	Rmb130.00	63%	15,430	236.1	-5%	-4%	-20%	-2%	49%	17.2	14.3	7.1	5.5	3.0%	3.6%
Hangzhou First	603806.SS	Buy	Rmb14.45	Rmb21.00	48%	5,617	81.1	-4%	-7%	-10%	-16%	-11%	21.1	17.8	2.2	2.1	2.4%	2.9%
GCL Technology	3800.HK	Buy/High Risk	HK\$0.72	HK\$1.10	54%	2,933	27.8	-1%	-2%	2%	-34%	-50%	-4.8	-15.4	0.5	0.5	N/A	N/A
Daqo New Energy	DQ.N	Buy/High Risk	US\$12.36	US\$26.00	110%	836	4.5	-5%	-16%	-21%	-44%	-56%	-7.7	42.5	0.2	0.2	N/A	N/A
Xinyi Solar	0968.HK	Buy	HK\$2.15	HK\$2.90	36%	2,508	19.5	-2%	-12%	-12%	-34%	-41%	42.1	16.1	0.6	0.5	1.4%	3.5%
Xinyi Energy	3868.HK	Neutral	HK\$0.79	HK\$1.00	36%	853	1.0	-1%	-9%	-27%	-38%	-41%	5.8	5.7	0.4	0.4	9.8%	10.0%
Flat Glass	6865.HK	Neutral	HK\$6.55	HK\$7.00	7%	359	4.1	-1%	-14%	-12%	-32%	-46%	-10.7	72.6	0.6	0.6	N/A	0.4%
JA Solar	002459.SZ	Sell	Rmb6.92	Rmb7.00	1%	3,413	59.4	-2%	-10%	-14%	-43%	-51%	-6.1	-12.5	1.2	1.4	N/A	N/A
China (Gas)																		
ENN Natural Gas	600803.SS	Buy	Rmb18.96	Rmb23.50	28%	8,745	24.0	1%	10%	0%	-11%	2%	12.1	10.7	2.5	2.4	4.5%	5.4%
Kunlun Energy	0135.HK	Buy	HK\$7.68	HK\$8.40	14%	8,456	9.9	1%	12%	11%	-11%	5%	9.6	9.6	0.8	0.8	5.2%	5.2%
ENN Energy	2688.HK	Neutral	HK\$51.40	HK\$50.00	3%	7,421	28.2	4%	11%	2%	-25%	-20%	8.1	8.4	0.9	0.9	5.9%	5.9%
CR Gas	1193.HK	Neutral	HK\$17.51	HK\$20.00	20%	5,168	9.0	6%	11%	1%	-15%	-15%	11.3	11.0	0.9	0.9	5.6%	5.9%
HKCG	0003.HK	Buy	HK\$7.30	HK\$8.20	17%	17,375	28.3	3%	7%	7%	-3%	4%	19.8	19.2	2.3	2.3	4.8%	4.8%
Towngas Smart Energy	1083.HK	Neutral	HK\$3.09	HK\$3.40	16%	1,490	1.0	3%	-3%	-4%	-21%	-22%	8.0	7.8	0.4	0.4	6.1%	6.1%
Beijing Enterprises	0392.HK	Neutral	HK\$31.80	HK\$29.00	-4%	5,103	6.9	2%	7%	10%	-10%	-7%	6.5	6.2	0.4	0.4	6.0%	6.0%
China Gas	0384.HK	Sell	HK\$5.75	HK\$4.50	-16%	3,992	10.7	3%	1%	-16%	-30%	-26%	11.5	10.0	0.5	0.5	6.1%	6.1%
China (Power)																		
Yangtze Power	600900.SS	Neutral	Rmb27.87	Rmb29.00	8%	101,614	509.9	-2%	0%	1%	3%	-1%	19.0	18.6	2.9	2.8	3.7%	3.8%
China Power Int'l	2380.HK	Sell	HK\$2.84	HK\$2.50	-5%	4,481	12.3	2%	3%	-22%	-14%	-18%	10.9	12.1	0.7	0.7	6.9%	6.9%
Huadian	1071.HK	Sell	HK\$4.06	HK\$3.70	-4%	6,013	3.5	2%	1%	-10%	-11%	-11%	8.3	9.1	0.8	0.8	5.3%	5.0%
CR Power	0836.HK	Sell	HK\$18.90	HK\$17.50	-2%	12,481	38.1	2%	2%	-9%	1%	-1%	7.7	8.0	0.8	0.8	5.2%	4.8%
CNNP	601985.SS	Sell	Rmb8.93	Rmb8.00	-9%	27,369	145.4	1%	1%	-1%	1%	1%	20.4	18.5	1.5	1.4	1.7%	1.9%
CGN Power	1816.HK	Sell	HK\$3.09	HK\$2.45	-17%	4,400	15.9	3%	9%	2%	-5%	5%	14.3	13.4	1.0	1.0	3.4%	3.7%
Huaneng	0902.HK	Sell	HK\$5.77	HK\$4.60	-15%	11,544	23.4	3%	-1%	-20%	-7%	-5%	10.3	15.8	0.5	0.5	5.3%	3.4%
China (Environmental Protection)																		
CE Environment	0257.HK	Buy	HK\$5.05	HK\$5.80	21%	3,957	5.4	1%	3%	3%	-2%	9%	7.3	7.0	0.6	0.5	5.7%	6.1%
BE Water	0371.HK	Neutral	HK\$1.70	HK\$1.70	6%	2,179	6.5	-1%	-24%	-32%	-41%	-35%	12.2	11.7	0.5	0.5	5.8%	6.0%
Hong Kong & Regional																		
Guangdong Investment	0270.HK	Buy	HK\$8.92	HK\$9.50	12%	7,434	10.4	1%	10%	8%	19%	21%	11.8	11.6	1.3	1.3	5.5%	5.6%
CKI	1038.HK	Buy	HK\$65.90	HK\$70.00	10%	21,179	12.7	3%	8%	14%	1%	26%	6.6	18.9	1.1	1.1	4.0%	4.1%
Power Assets	0006.HK	Buy	HK\$60.65	HK\$66.50	14%	16,486	23.0	3%	5%	8%	-3%	18%	7.0	16.9	1.3	1.2	4.6%	4.6%
CLP	0002.HK	Neutral	HK\$77.25	HK\$80.00	8%	24,894	32.4	-1%	0%	5%	3%	19%	17.0	17.2	1.8	1.7	4.2%	4.3%
HKEI	2638.HK	Neutral	HK\$6.31	HK\$7.00	16%	7,106	2.1	1%	-2%	-1%	-10%	5%	17.0	16.8	1.1	1.1	5.1%	5.1%
Wgt average (by mkt cap)								-1%	-3%	-7%	-12%	17%	20.1	17.2	3.1	2.6	2.9%	3.2%

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Source: Company Reports and Citi Research Estimates

Figure 28. Asia diversified utilities and power equipment valuation comparison (continued)

	RIC	Business Type	EPS Growth 2026E	2027E	ROE 2026E	2027E	ROA 2026E	2027E	EV/EBITDA (x) 2026E	2027E	Net D/E 2026E	2027E
Korea (Grid Equipment & Utilities)												
Hyosung Heavy	298040.KS	Grid Equipment	59%	37%	30%	32%	11%	12%	22.6	16.4	2.0%	-9.5%
HD Hyundai Electric	267260.KS	Grid Equipment	31%	30%	40%	38%	19%	20%	19.1	14.8	-35.7%	-43.7%
LS Electric	010120.KS	Grid Equipment	83%	40%	23%	27%	10%	12%	39.8	28.4	36.8%	37.7%
KEPCO - KR	015760.KS	Generation	-41%	57%	10%	14%	2%	3%	7.4	5.8	228.7%	194.1%
China (Power & Grid Equipment)												
Sieyuan	002028.SZ	Power grid equipment	18%	31%	22%	24%	11%	12%	21.1	16.1	-34.7%	-36.7%
Pinggao	600312.SS	Power grid equipment	22%	16%	12%	12%	6%	7%	10.3	8.7	-47.4%	-47.3%
XJ	000400.SZ	Power grid equipment	11%	6%	10%	10%	5%	5%	8.6	7.2	-62.0%	-68.4%
NARI	600406.SS	Power grid equipment	6%	9%	16%	16%	9%	9%	15.0	13.8	-12.7%	-10.1%
Huaming Power Equipment	002270.SZ	Power grid equipment	10%	18%	24%	26%	14%	16%	17.3	14.7	-14.4%	-9.9%
Wasion	3393.HK	Power grid equipment	8%	24%	18%	20%	6%	7%	5.5	4.6	-8.3%	-8.2%
TGood	300001.SZ	Power grid equipment	17%	31%	16%	18%	5%	7%	12.1	9.9	-7.5%	-14.0%
Dongfang Electric	1072.HK	Power equipment	23%	9%	10%	11%	3%	3%	8.8	7.1	58.6%	51.8%
Harbin Electric	1133.HK	Power equipment	37%	3%	19%	17%	5%	5%	4.9	4.5	-51.7%	-51.3%
Shanghai Electric	2727.HK	Power equipment	22%	-1%	3%	3%	0%	0%	0.9	1.1	-4.0%	1.8%
China (Wind)												
Dajin Heavy	1081.HK	Wind equipment	5%	47%	11%	12%	7%	9%	12.1	7.5	-37.4%	-25.2%
Goldwind	2208.HK	Wind equipment	49%	14%	9%	10%	2%	3%	4.5	4.2	60.1%	54.6%
Ningbo Orient Cables	603606.SS	Wind equipment	35%	28%	19%	21%	11%	12%	9.9	7.9	-32.5%	-32.5%
China Suntien	0956.HK	Wind generation	-22%	10%	6%	6%	2%	2%	8.2	7.8	142.5%	141.5%
China Longyuan	0916.HK	Wind generation	4%	7%	6%	6%	2%	2%	7.1	6.9	164.4%	161.5%
Mingyang Smart Energy	601615.SS	Wind equipment	50%	33%	5%	7%	1%	2%	9.3	7.8	23.2%	27.7%
China (Solar)												
TBEA	600089.SS	Solar	4%	15%	9%	9%	3%	3%	8.6	7.9	23.3%	22.7%
Maxwell	300751.SZ	Solar	-40%	173%	5%	13%	2%	5%	27.7	21.2	0.0%	-4.1%
Sungrow	300274.SZ	Energy Storage	-13%	19%	23%	23%	10%	10%	11.7	9.8	-49.7%	-41.5%
Sigenergy	6656.HK	Energy Storage	65%	37%	61%	45%	37%	31%	11.2	7.4	-54.1%	-53.2%
Deye	605117.SS	Energy Storage	88%	21%	48%	43%	25%	23%	14.2	12.0	-20.1%	-21.8%
Hangzhou First	603806.SS	Solar	133%	18%	11%	12%	9%	10%	14.8	12.1	-20.3%	-23.3%
GCL Technology	3800.HK	Solar	-28%	69%	-10%	-3%	-5%	-1%	15.7	5.8	21.9%	41.3%
Daqo New Energy	DQ.N	Solar	6%	118%	-2%	0%	-2%	0%	22.8	5.1	-16.2%	-18.5%
Xinyi Solar	0968.HK	Solar	-53%	162%	1%	3%	1%	2%	7.9	6.2	17.1%	13.5%
Xinyi Energy	3868.HK	Solar	-4%	2%	7%	7%	4%	4%	5.2	5.0	44.7%	41.1%
Flat Glass	6865.HK	Solar	-224%	115%	-6%	1%	-3%	0%	9.9	4.4	49.5%	50.7%
JA Solar	002459.SZ	Solar	20%	51%	-18%	-10%	-4%	-2%	12.4	8.4	104.9%	99.5%
China (Gas)												
ENN Natural Gas	600803.SS	Gas	4%	14%	20%	23%	3%	4%	6.1	6.9	47.0%	42.3%
Kunlun Energy	0135.HK	Gas	11%	-1%	9%	8%	4%	4%	2.7	2.7	-22.6%	-24.7%
ENN Energy	2688.HK	Gas	2%	-3%	12%	11%	6%	5%	4.9	5.0	15.1%	15.4%
CR Gas	1193.HK	Gas	0%	3%	8%	8%	3%	3%	5.1	5.2	23.7%	22.7%
HKCG	0003.HK	Gas	21%	3%	12%	12%	4%	4%	12.3	12.1	73.9%	73.6%
Towngas Smart Energy	1083.HK	Gas	-4%	3%	5%	5%	3%	3%	6.7	6.4	37.6%	29.8%
Beijing Enterprises	0392.HK	Gas	5%	4%	6%	6%	2%	2%	3.8	4.4	56.3%	51.1%
China Gas	0384.HK	Gas	-16%	-2%	5%	5%	2%	2%	7.8	7.2	83.1%	85.8%
China (Power)												
Yangtze Power	600900.SS	Generation	4%	2%	16%	15%	6%	7%	13.7	13.2	108.9%	98.2%
China Power Int'l	2380.HK	Generation	-5%	-10%	6%	6%	1%	1%	10.4	10.1	202.8%	200.5%
Huadian	1071.HK	Generation	-12%	-9%	10%	8%	2%	2%	7.5	8.1	112.0%	99.0%
CR Power	0836.HK	Generation	-13%	-4%	11%	10%	3%	3%	6.5	6.7	150.5%	149.8%
CNNP	601985.SS	Generation	-5%	10%	8%	8%	1%	1%	14.9	15.0	189.7%	199.2%
CGN Power	1816.HK	Generation	-4%	7%	7%	7%	2%	2%	11.1	11.8	164.9%	176.5%
Huaneng	0902.HK	Generation	-35%	-35%	5%	3%	1%	1%	7.9	8.5	134.0%	137.0%
China (Environmental Protection)												
CE Environment	0257.HK	Waste-to-energy	8%	6%	8%	8%	2%	2%	11.9	11.1	99.3%	92.2%
BE Water	0371.HK	Water	-23%	4%	4%	4%	1%	1%	15.6	15.0	116.9%	114.2%
Hong Kong & Regional												
Guangdong Investment	0270.HK	Water	6%	2%	11%	11%	5%	5%	5.0	4.4	2.7%	-5.4%
CKI	1038.HK	Infrastructure	203%	-65%	18%	6%	14%	5%	10.7	46.6	-26.3%	-28.6%
Power Assets	0006.HK	Generation	196%	-59%	19%	7%	18%	7%	2.6	43.7	-41.1%	-39.3%
CLP	0002.HK	Generation	10%	-2%	11%	10%	5%	5%	9.4	9.4	52.8%	49.1%
HKEI	2638.HK	Generation	4%	1%	7%	7%	3%	3%	12.6	12.7	105.0%	106.3%
Wgt avg (by mkt cap)			28.7%	25.1%	15.5%	15.3%	7.1%	6.8%	12.7	13.3	48.0%	44.4%

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Source: Citi Research, Company Reports and Citi Research Estimates

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Appendix A-1

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IMPORTANT DISCLOSURES

LS Electric (010120.KS)

Ratings and Target Price History
Fundamental Research

Analyst: Pierre Lau, CFA



Date	Rating	Target Price	Closing Price
1 20-Oct-25 06:13:00	*1	*76,000.00	63,900.00
2 31-Oct-25 10:56:28	1	*110,000.00	87,000.00
3 18-Nov-25 12:37:11	1	*112,000.00	91,800.00

*Indicates Change

Date	Rating	Target Price	Closing Price
4 27-Jan-26 10:50:39	1	*130,000.00	107,400.00
5 06-Mar-26 11:35:35	1	*168,000.00	140,800.00
6 21-Apr-26 13:14:46	1	*230,000.00	184,700.00

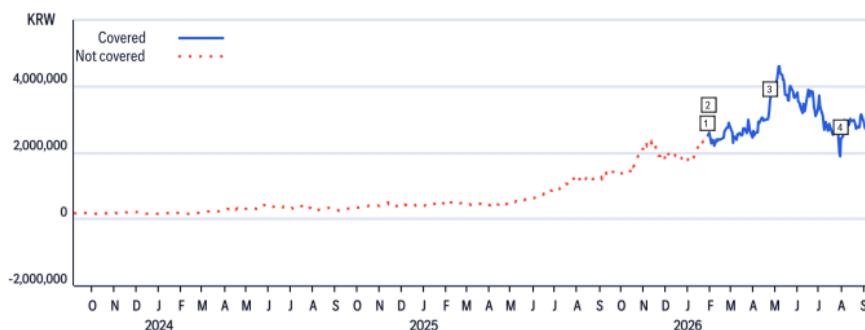
Date	Rating	Target Price	Closing Price
7 29-Apr-26 06:05:57	1	*320,000.00	273,000.00

Rating/target price changes above reflect Eastern Time

Hyosung Heavy Industries (298040.KS)

Ratings and Target Price History
Fundamental Research

Analyst: Pierre Lau, CFA



Date	Rating	Target Price	Closing Price
1 28-Jan-26 02:00:37	*13,000,000.00	518,000.00	
2 30-Jan-26 10:48:39	13,200,000.00	603,000.00	

*Indicates Change

Date	Rating	Target Price	Closing Price
3 26-Apr-26 19:14:53	14,500,000.00	552,000.00	
4 31-Jul-26 11:57:56	13,500,000.00	417,000.00	

Rating/target price changes above reflect Eastern Time

KEPCO (015760.KS)

Ratings and Target Price History Fundamental Research

Analyst: Pierre Lau, CFA



	Date	Rating	Target Price	Closing Price
1	13-Nov-23 17:11:47	3	*17,700.00	17,870.00
2	26-Feb-24 01:31:21	*1	*28,000.00	24,850.00
3	08-Aug-24 13:29:50	1	*25,000.00	19,190.00
4	13-Nov-24 12:21:34	1	*26,500.00	22,200.00
5	02-Mar-25 18:28:42	1	*27,000.00	21,350.00

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	14-May-25 02:31:18	1	*31,000.00	26,100.00
7	28-Jul-25 13:20:04	1	*46,000.00	39,800.00
8	12-Aug-25 12:04:39	1	*47,000.00	38,550.00
9	13-Nov-25 11:36:33	1	*58,250.00	49,250.00
10	20-Jan-26 10:37:56	1	*73,500.00	65,400.00

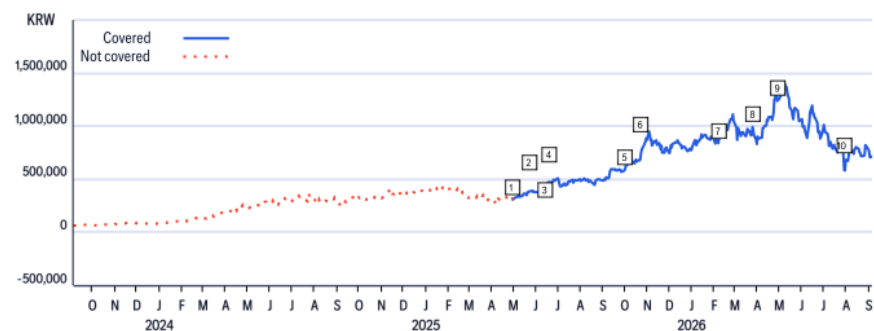
	Date	Rating	Target Price	Closing Price
11	27-Feb-26 03:13:16	1	*73,000.00	58,500.00
12	13-May-26 12:09:03	1	*58,400.00	40,750.00
13	12-Aug-26 13:24:48	1	*47,000.00	35,450.00

Rating/target price changes above reflect Eastern Time

HD Hyundai Electric (267260.KS)

Ratings and Target Price History Fundamental Research

Analyst: Pierre Lau, CFA



	Date	Rating	Target Price	Closing Price
1	01-May-25 06:00:34	*1	*400,000.00	307,500.00
2	25-May-25 19:08:13	1	*450,000.00	386,000.00
3	13-Jun-25 06:20:14	1	*500,000.00	430,000.00
4	18-Jun-25 07:16:11	1	*540,000.00	467,000.00

*Indicates Change

	Date	Rating	Target Price	Closing Price
5	01-Oct-25 11:35:50	1	*700,000.00	596,000.00
6	23-Oct-25 10:47:18	1	*910,000.00	746,000.00
7	08-Feb-26 18:17:14	1	*1,000,000.00	840,000.00
8	25-Mar-26 09:31:12	1	*1,200,000.00	992,000.00

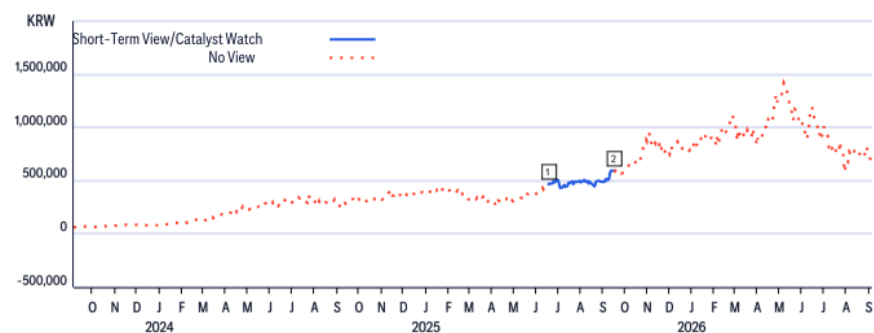
	Date	Rating	Target Price	Closing Price
9	28-Apr-26 12:49:09	1	*1,440,000.00	1,238,000.00
10	28-Jul-26 12:18:17	1	*1,100,000.00	705,000.00

Rating/target price changes above reflect Eastern Time

HD Hyundai Electric (267260.KS)

Short-Term View/Catalyst Watch Research

Analyst: Pierre Lau, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	18-Jun-25 03:16:11	Add STV	Upside	90 Days	467,000.00

	Date	Action	Expected Direction	Duration	Closing Price
2	16-Sep-25 22:48:06	Remove STV	Upside	90 Days	594,000.00

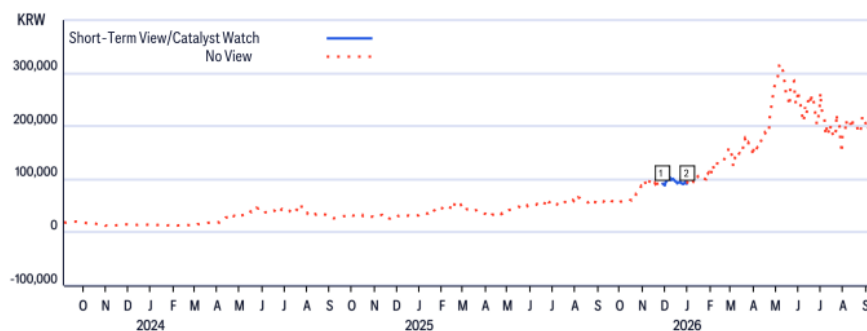
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

LS Electric (010120.KS)

Short-Term View/Catalyst Watch Research

Analyst: Pierre Lau, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	30-Nov-25 20:31:17	Add CW	Upside	30 Days	92,000.00
2	31-Dec-25 21:13:37	Remove CW	Upside	30 Days	92,000.00

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

KEPCO (015760.KS)

Short-Term View/Catalyst Watch Research

Analyst: Pierre Lau, CFA



*Indicates Change

Rating/target price changes above reflect Eastern Time

The Firm has made a market in the publicly traded equity securities of CLP Holdings Limited on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of Hong Kong and China Gas Co Ltd on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of Goldwind Science & Technology Co Ltd on at least one occasion since 1 Jan 2025.

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The Firm has made a market in the publicly traded equity securities of GCL Technology Holdings Limited on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of Huaneng Power International Inc on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of China Longyuan Power Group Corporation Limited on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of China Resources Power Holdings Co Ltd on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of Wasion Holdings Ltd on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of Harbin Electric Co Ltd on at least one occasion since 1 Jan 2025.

CGN Power Co Ltd is subject to Executive Order 13959 described below. The Firm has made a market in the publicly traded equity securities of CGN Power Co Ltd on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of China Power International Development Ltd on at least one occasion since 1 Jan 2025.

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
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